

DO FEW THINGS WELL

A policy judgment that was wrong for me engendered quite a different kind of mistake, and one which did cost a significant amount of dollars. My mistake was to project my skill beyond the limits of experience. I began investing outside the industries which I believe I thoroughly understood, in completely different spheres of activity; situations where I did not have comparable background knowledge.

When it comes to manufacturing companies that serve industrial markets or to companies on the leading edge of technology that are serving manufacturers, I believe that I know what to look for—where both the strong points and pitfalls may lie. However, different skills proved important in evaluating companies making and selling consumertype products. When the products of competitive companies are essentially rather similar to one another, and when changes in market share depend largely on shifting public tastes or on fashions greatly influenced by the effectiveness of advertising, I learned that the abilities which I had in selecting outstanding technological companies did not extrapolate to the point where I could identify what produces unusual success in real estate operations.

Others may do well in quite diverse investment arenas. Perhaps, unlike the other types of mistakes I have made during my business career, this one should properly be ignored by others. Nevertheless, an analyst must learn the limits of his or her competence and tend well the sheep at hand.